THE BURTON INN

A Five-Year Lease and a Path to Purchase — prepared for the building owner

Draft v4.0 — November 13, 2026 — replaces the July 2026 version

A summary of the proposed lease: how the rent works, what the owner receives, and how the purchase price would be set. The projected cost of running the inn is itemized in the attached Exhibit D. Figures are projections from the stated assumptions, not guarantees.

THE FIVE-YEAR PATH

WHEN	WHAT HAPPENS	FOR THE OWNER
At signing (late 2026)	An independent appraiser values the building as it stands today. The lease is signed.	Taxes, insurance, and upkeep move to the tenant the following month.
Years 1–3 (through 2029)	The rooms open first; the kitchen and bar open about halfway through Year 1.	Rent each quarter and a revenue report each month.
Value review (spring 2030)	The purchase price is set from the appraisal and the three-year record (Section 4).	A price set by an agreed method.
Years 4–5 (2030–2031)	The tenant arranges financing and completes the purchase: the inn alone, or with the Yellow House.	Rent continues until closing.

WHAT CHANGED SINCE JULY

TOPIC	JULY 2026	NOW
The plan	Ten-year lease; purchase a distant goal	Five-year lease with a defined path to purchase
Purchase price	About $1,200,000 around Year 10	Set by appraisal today and a review after Year 3
Rent	Base rent plus 10% above a breakpoint	The greater of $1,650 a month or 10% of gross revenue; the same result from 2028
First lease year	10% only above $198,000	10% of all revenue, no minimum
Building systems	Optional $50,000 loan to the owner	Work under way, funded by a $70,000 advance the owner plans to repay by March 31, 2027
Revenue and costs	Short cost list; full revenue in Year 2	Full cost list (Exhibit D); kitchen opens mid-Year 1; revenue builds over three years

1 · RENT

COMPONENT	AMOUNT	BASIS
Tier One — property costs	About $19,500 a year	Taxes $8,500, building insurance $6,500, and upkeep $4,500, paid by the tenant at actual cost. No management fee or escrow account.
Tier Two — percentage	10% of gross revenue	Measured from receipts, not profit.
Tier Two — minimum	$1,650 a month from January 1, 2028	No minimum in Lease Year 1. The owner receives the greater of the minimum or the percentage.

The minimum is paid monthly. The percentage is paid within a month after each calendar quarter, with a true-up by March 31. The tenant sends a monthly revenue report and a certified annual statement, and the owner may audit once a year.

AT STABILIZED REVENUE	CONSERVATIVE (FLOOR)	TARGET
Gross revenue	$276,636	$465,662
Tier Two to the owner (10%)	$27,664	$46,566
Tier One costs paid by tenant	$19,500	$19,500
Rent and property costs as a share of revenue	17.0%	14.2%
Tenant's other operating costs (Exhibit D)	$226,801	$337,481
Left for the tenant after all costs	$2,672	$62,115

Rent and property costs of 14–17% of revenue are above the 6–10% usual for restaurants. At the floor the business roughly breaks even after rent; if revenue falls, Tier Two falls with it, down to the minimum.

2 · WHO DOES WHAT

ITEM	CARRIED BY
Property taxes, building insurance, and upkeep inside and out	Tenant, at actual cost (Tier One)
Utilities; liability, liquor, and business-income insurance	Tenant
Interior fit-out (about $98,000)	Tenant; stays with the building
Fire suppression and HVAC (about $50,000)	Owner; under way now
Roof, foundation, and structure	Owner
Existing code violations, including the sunroom	Owner

The $70,000 advance. The tenant advanced the owner $70,000 under the Side Agreement to pay for the building systems work. The owner plans to repay it by March 31, 2027, on the Side Agreement's terms; any part not repaid by then is credited against rent.

3 · WHAT THE OWNER RECEIVES

Lease Year 1 runs from signing through December 31, 2027. Revenue is assumed to build over three years: rooms at 75% of a stabilized year in Lease Year 1 with the kitchen and bar open for half of it, everything at 90% in Lease Year 2 and 100% in Lease Year 3, then 3% growth a year. The figures are Tier Two only.

LEASE YEAR	CONSERVATIVE REVENUE	TIER TWO TO OWNER	TARGET REVENUE	TIER TWO TO OWNER
1 (through 2027)	$145,130	$14,513	$233,480	$23,348
2 (2028)	$248,972	$24,897	$419,096	$41,910
3 (2029)	$276,636	$27,664	$465,662	$46,566
4 (2030)	$284,935	$28,494	$479,632	$47,963
5 (2031)	$293,483	$29,348	$494,021	$49,402
Five-year total		**$124,916**		**$209,189**

- **Property costs the owner no longer pays:** $19,500 a year at today's costs, or $97,500 over five years.
- **Year 1:** with the kitchen open for half the year, the tenant roughly breaks even. Rent that year is 10% of revenue with no minimum.
- **If the kitchen is delayed further:** Exhibit D shows a rooms-only year. The rooms alone carry the property costs and the minimum rent, at a small loss to the tenant.

END OF YEAR 5	IF THE PURCHASE CLOSES	IF IT DOES NOT
The building	Sold at the price set in Section 4	The owner's, with the tenant's fit-out, new fire suppression and HVAC, and the code violations resolved
The record	Supports the price	Five years of documented revenue
The lease	Ends at closing	Ends, or continues by agreement (Section 6)

4 · SETTING THE PURCHASE PRICE

The price comes from a method agreed now and applied at the value review in spring 2030.

- **Step 1 — Today's value.** At signing, an independent appraiser both sides accept values the building as it stands, before the tenant's fit-out.
- **Step 2 — Inflation.** At the value review, that value is adjusted for inflation.
- **Step 3 — Share of proven rent.** The rent earned in Lease Years 2 and 3 is converted to a value at a rate agreed now. If that value is higher than the adjusted appraisal, half of the difference is added to the price, up to a cap of 10% of the adjusted appraisal.
- The tenant's fit-out is not added to the price. The price does not change after the value review.

IF THE RENT-BASED VALUE IS...	THE PRICE IS THE ADJUSTED APPRAISAL...
At or below the adjusted appraisal	With nothing added
12% above	Plus 6% (half of the difference)
30% above	Plus 10% (half would be 15%; the cap applies)

Appraiser, and who pays: _____

Rate to convert rent to value: _____ % **Cap (10% proposed):** _____ %

Inflation measure: _____

5 · TWO WAYS TO BUY

	THE INN ALONE	THE INN AND THE YELLOW HOUSE
Yellow House	Stays with the owner, or is sold separately	Bought with the inn; used for long-term rental housing, laundry, and work space
Shared septic and alley	A written agreement between two owners, and likely a mutual right of first refusal	One owner
Closings	Two properties, two timelines	One buyer, one closing

If included, the Yellow House is appraised the same way (today's value, adjusted for inflation), with no rent-based share.

6 · IF THE INN IS STILL GROWING

A Cornell study of 3,699 hotels found that occupancy takes about 3.1 years on average to stabilize. With the rooms opening in 2027 and the kitchen mid-year, the value review will see about two and a half years of rooms and less of the kitchen. Proposed: if the purchase has not closed by the end of Year 5 and the tenant is in good standing, the tenant may extend once, for up to two years, on the same terms and at the price already set.

7 · ZONING AND PERMITS

- **Zone:** NB. A bed-and-breakfast is allowed only as accessory to the operator's residence, with a maximum of five rooms.
- **Certificate of occupancy:** the County's 1992 certificate covers four guest rooms over a 62-seat dining room. Whether it still holds after the closure since 2022 is open.
- **Sunroom violation:** the likely gate on new permits. The owner is asked to resolve it and to sign owner consents on permit applications.
- **Proposed:** if the guest rooms cannot legally reopen by June 30, 2027, the tenant may end the lease.

King County zoning (Mark Rowe, November 10):

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8 · REVENUE ASSUMPTIONS

LINE OF BUSINESS	FLOOR	TARGET	BASIS (FLOOR / TARGET)
Inn — 4 guest rooms	$110,376	$156,950	36% / 50% occupancy at $210 / $215 a night. The Vashon short-term-rental average is 52% (AirDNA, June 2026).
Cocktail bar (Sylvan Kitchen)	$79,800	$114,912	12.5 / 18 covers a night at $38, 4 nights a week, 42 weeks.
Chef's dinners	$46,200	$107,100	16 / 24 dinners a year, 35 seats at $150, 55% / 85% sold.
Breakfast and coffee	$30,240	$67,200	20 / 40 sales a morning at $9 / $10, 4 mornings a week, 42 weeks.
Commissary rental	$3,200	$12,500	$32 / $50 an hour, 2 / 5 hours a week.
Misc kitchen and events	$6,820	$7,000	Small hires and private events.
Total	**$276,636**	**$465,662**	Costs are in Exhibit D. A source list is available on request.

NOTES